

Cross-Price Elasticity

▼ What is cross price elasticity?

Refers to the responsiveness of demand to a change in the price of another good, XED

▼ How do you calculate cross price elasticity?

$$\text{XED} = \frac{\text{Percentage change in quantity demand (good A)}}{\text{Percentage change in price of related good (good B)}}$$

▼ What are complementary goods in XED?

$\text{XED} < 0$

If the price of one good increases, the demand for the other good falls

Changes in opposite directions, negative coefficient

▼ What are substitute goods in XED?

$\text{XED} > 0$

If the price increases of one good, the demand for the other good increases

Changes in same direction, positive coefficient

▼ What are unrelated goods in XED?

$\text{XED} = 0$

Change in the price of one good has no effect on the demand for another good